

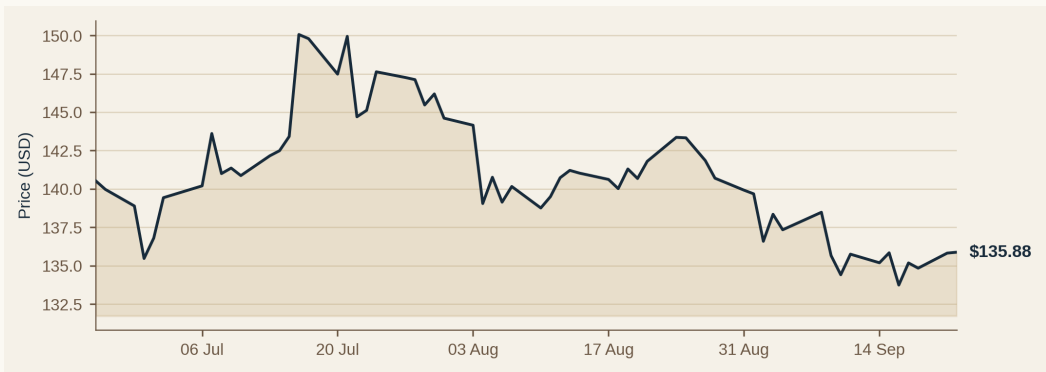
PROLOGIS

Prologis, Inc.

NYSE: PLD · United States · Logistics and Industrial Real Estate

\$135.88

Closing price, 22 September 2026 · Market capitalization approximately \$131.7 billion



PLD daily closing price, 25 June 2026 to 22 September 2026. Source: Alpha Vantage, daily adjusted market data, compiled by the analyst.

Executive Summary

Business

Prologis owns, develops and manages logistics and light-industrial real estate, leasing warehouse and distribution space to approximately 6,600 customers across roughly 1.3 billion square feet in twenty countries. Revenue is generated primarily through long-term triple-net leases on this real estate, supplemented by fee income from a co-investment management platform and episodic gains from development and asset recycling. Customers span e-commerce and retail fulfillment, third-party logistics, transportation, and manufacturing, with the largest single geographic exposure concentrated in high-barrier United States coastal and inland gateway markets.

Financial Condition

Reported total revenue reached \$8,790 million in fiscal year 2025, up 7.2 percent from \$8,202 million in fiscal year 2024, while Core Funds From Operations per share, the industry-standard cash earnings measure for real estate investment trusts, rose 4.5 percent to \$5.81. Net earnings attributable to common stockholders declined 11.2 percent to \$3,322 million, or \$3.56 per diluted share, reflecting lower net gains on real estate dispositions rather than weaker operating performance. Free cash flow, as compiled from company financial statements, was approximately \$4,770 million, against \$3,765 million of dividends paid, and the balance sheet carried \$35.0 billion of total debt against \$98.7 billion of total assets at year-end 2025.

Market Position

Prologis is the largest owner and operator of logistics real estate globally by portfolio scale, competing most directly with Rexford Industrial Realty, First Industrial Realty Trust and EastGroup Properties in the United States, and with Goodman Group, SEGRO and GLP internationally. Its principal advantage is a land bank and development platform that allows it to create new supply in supply-constrained infill markets rather than compete solely for existing assets; its principal weakness is a portfolio and cost base large enough that incremental growth increasingly depends on development execution and capital-markets access rather than simple acquisition.

Valuation

At the 22 September 2026 closing price of \$135.88, Prologis carried a market capitalization of approximately \$131.7 billion and an enterprise value of approximately \$167.0 billion, equivalent to a trailing price-to-Core-FFO multiple of roughly 20.0 times, an EV/EBITDA multiple of approximately 24.6 times, and a dividend yield of 3.15 percent. These multiples sit above First Industrial and toward the middle of the small set of pure-play United States industrial REIT peers on an EV/EBITDA basis, and reflect a premium generally attributed to Prologis's scale, its Strategic Capital fee business, and its emerging data center and energy platform.

Investment Framework

What is attractive? A dominant, hard-to-replicate portfolio of infill logistics real estate; a recurring fee stream from third-party capital that requires little incremental balance-sheet capital; embedded rent growth from below-market in-place leases; and an emerging data center power pipeline that could open a new, higher-return growth vector.

What is concerning? Same-store net operating income growth has decelerated from 9.1 percent in 2022 to 5.7 percent in 2025 as the post-pandemic demand surge normalizes; leverage, measured as total debt to total assets, has risen from 27.2 percent to 35.5 percent over the same period; and Strategic Capital fee revenue declined year over year in 2025.

What must go right? Industrial vacancy needs to stabilize and market rents need to continue reconverging with in-place rents so that lease rollovers keep generating positive re-leasing spreads; the data center and energy initiatives need to scale into a material earnings contributor without diluting the core logistics platform; and Strategic Capital fundraising needs to reaccelerate.

What could break the thesis? A prolonged period of industrial oversupply that compresses market rents below in-place rents in key submarkets; a sustained rise in long-term interest rates that both raises Prologis's cost of capital and compresses the multiple applied to FFO; or a slowdown in e-commerce and global trade volumes that reduces underlying space demand.

What appears to be priced into the stock? The current multiple appears to price in continued mid-single-digit Core FFO per share growth, stabilizing occupancy in the mid-90 percent range, and a successful, non-dilutive scaling of the data center and energy businesses, rather than a return to the double-digit same-store growth rates of 2021-2022.

Investment Profile

BUSINESS QUALITY	High. Largest global logistics real estate platform with a scarce, infill-located land bank and a diversified, approximately 6,600-customer base.
FINANCIAL QUALITY	Solid but moderating. Investment-grade balance sheet with rising leverage; Core FFO growing faster than net income, which is more volatile due to disposition gains.
COMPETITIVE POSITION	Leading. Largest scale among listed industrial REITs, though competition for land and tenants is highly local.
GROWTH PROFILE	Moderating from post-pandemic peaks; supplemented by a nascent data center and energy growth vector.
BALANCE-SHEET RISK	Moderate and rising. Total debt to total assets has increased for four consecutive years to 35.5 percent.
VALUATION	Trades at a premium price-to-Core-FFO multiple versus most direct United States peers, consistent with its scale and diversified fee income.
MARKET AND TECHNICAL PROFILE	Range-bound over the trailing three months, trading below its fifty-two-week high with a beta above one, consistent with a rate-sensitive, cyclically exposed equity.

A. About the Business

A1. Business Environment

Prologis operates in logistics and light-industrial real estate, an asset class that provides the physical infrastructure through which goods move between manufacturers, distributors, retailers and end consumers. The industry's value chain runs from land acquisition and entitlement, through development or acquisition of warehouse and distribution buildings, to leasing, property management and, eventually, disposition or redevelopment. Revenue pools are concentrated in rental income on modern, well-located distribution facilities near ports, population centers and transportation corridors; cost pools are concentrated in land, construction, property taxes, and, for a scaled owner such as Prologis, the cost of debt and equity capital used to fund development and acquisitions.

United States industrial vacancy is projected to stabilize in the mid-6 percent range through 2026, as a wave of lease expirations in older, first-generation buildings is offset by a near-absence of new speculative construction, according to CBRE's 2026 market outlook. Leasing volume is forecast to rise approximately 5 percent year over year to nearly 1 billion square feet, with third-party logistics providers accounting for more than 35 percent of that volume and build-to-suit development gaining share as occupiers increasingly seek modern, purpose-built space. The industry is capital-intensive, moderately cyclical (tracking consumer spending, trade volumes and inventory cycles), and geographically concentrated in a relatively small number of high-barrier gateway and inland logistics hubs.

Industry stage classification: **Mature, structurally transforming.** The core warehousing function is a mature, well-understood asset class, but the industry is being reshaped by three structural forces operating simultaneously: the multi-decade growth of e-commerce logistics networks, a post-2022 supply correction following a period of record speculative construction, and an emerging convergence between logistics real estate and power-intensive data center development on the same land banks.

A2. What Does the Company Do?

Prologis develops, acquires, owns and leases logistics real estate, then layers a capital-light services and co-investment management business on top of that physical platform. The core operating unit is a distribution or fulfillment building leased to a single or small number of tenants under a long-term, typically triple-net lease, under which the tenant pays rent plus most operating costs, insulating Prologis's margins from fluctuations in property-level expenses. A smaller and newer share of revenue comes from Prologis Essentials (warehouse fit-out, solar, battery storage and electric-vehicle charging solutions sold to existing tenants) and from an emerging data center development business that monetizes power-connected land within the existing portfolio.

How a dollar moves through Prologis

CUSTOMER Approximately 6,600 tenants: e-commerce and retail fulfillment operators, third-party logistics providers, transportation and distribution companies, and light manufacturers.	PRODUCT / SERVICE Long-term leased warehouse and distribution space; co-investment access to institutional capital partners; adjacent energy and fit-out services.	REVENUE Rental revenue (\$8,159 million, FY2025); Strategic Capital fees and promotes (\$592 million, FY2025); development and disposition gains.
COSTS Property operating expenses (largely reimbursed by tenants), general and administrative costs, interest expense on \$35.0 billion of total debt, and depreciation.	OPERATING PROFIT Net operating income at the property level, aggregated into Core FFO of \$5.81 per share in FY2025, the industry-standard REIT profitability measure.	CASH FLOW & CAPITAL ALLOCATION Operating cash flow reinvested into development (\$3.0-4.0 billion of 2026 guided starts), funded by retained cash flow, debt and selective equity, net of a dividend of \$4.04 per share paid in FY2025.

Figures sourced from Prologis fourth-quarter and full-year 2025 earnings release (rental and strategic capital revenue, dividend per share) and company financial statements as compiled by stockanalysis.com (operating cash flow, development guidance context). See Section G for full citations.

The most economically important parts of this model are, in order: the in-place rent roll on the existing 1.3-billion-square-foot portfolio, which determines the majority of cash flow; the mark-to-market gap between in-place and current market rents, which drives organic same-store growth as leases roll; and the development pipeline, which is the primary mechanism through which Prologis creates incremental value beyond simply owning existing buildings, because development yields on cost have historically exceeded the cap rates at which comparable stabilized assets trade.

A3. Business and Relationship Network

Prologis operates a network of institutional and operating relationships that extends well beyond its direct tenant base. Its co-investment ventures - vehicles through which Prologis contributes properties and manages assets on behalf of outside institutional investors in exchange for management fees, transaction fees and promoted interests - represented approximately \$230 billion of gross assets under management and \$162 billion on a Prologis-share basis at year-end 2025, making Strategic Capital as much a relationship business as a real estate one.

Prologis ecosystem map

INSTITUTIONAL CAPITAL PARTNERS Pension funds, sovereign wealth funds and other institutions co-investing in Prologis-managed logistics ventures; source of Strategic Capital fee income.	MAJOR TENANTS E-commerce, third-party logistics and distribution companies, including large-format fulfillment operators publicly identified by Prologis as key customers, notably Amazon.	ENERGY & INFRASTRUCTURE PARTNERS Utilities and power infrastructure providers supporting the 5.7-gigawatt secured data center power pipeline and 389 megawatts of operating and under-development solar and storage capacity.
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A4. Competition

Competition in logistics real estate is highly local, centered on specific submarkets and land parcels rather than on national market share, but a set of listed peers compete with Prologis for tenants, capital and, in some cases, the same institutional co-investment relationships.

SELECTED INDUSTRIAL AND LOGISTICS REAL ESTATE COMPETITORS

Company	What they sell	Geography	Market cap	Relative position
Rexford Industrial Realty (REXR)	Infill warehouse space	Southern California only	\$8.8 billion	Denser, higher-rent submarket focus; smaller and more geographically concentrated than Prologis
First Industrial Realty Trust (FR)	Warehouse and distribution space	United States, diversified metros	\$8.5 billion	Similar development-led model on a materially smaller scale
EastGroup Properties (EGP)	Multi-tenant shallow-bay industrial	Sunbelt United States	\$10.9 billion	Smaller-format, higher-granularity tenant base than Prologis
Goodman Group	Logistics real estate and funds management	Asia-Pacific, Europe, Americas	Not disclosed	Closest strategic analog outside the United States; also runs a large co-investment platform
SEGRO plc	Logistics and urban warehousing	United Kingdom and Continental Europe	Not disclosed	Leading European-focused logistics REIT; smaller global footprint than Prologis
GLP	Logistics real estate and fund management	Asia, with United States and European platforms	Not disclosed	Comparable global fund-management model; historically the largest logistics owner in China and Japan

Market capitalization figures sourced from stockanalysis.com as of 22 September 2026. Goodman Group, SEGRO and GLP financial detail not independently verified for this report; positioning described qualitatively based on company disclosures and industry commentary.

A5. Competitive Differences

Advantages. Prologis's principal advantages are scale and its land bank: a roughly 15,000-acre land reserve concentrated in supply-constrained infill markets gives it a development pipeline that smaller peers cannot easily replicate, while its size supports lower costs of capital, deeper broker and customer relationships, and a Strategic Capital platform that converts scale itself into a fee-generating asset. Diversification across roughly 6,600 customers and twenty countries also limits exposure to any single tenant, sector or economy.

Disadvantages. The same scale that supports Prologis's advantages also limits the marginal impact of any single acquisition or development on overall growth, meaning that maintaining historical growth rates becomes progressively harder as the base enlarges. The business remains capital-intensive and sensitive to interest rates, both through the cost of debt used to fund development and through the multiple that public equity markets apply to FFO, and a meaningful share of revenue (rental income) is directly exposed to industrial vacancy and market rent cycles that Prologis does not control.

Moat assessment: Strong. The moat rests on structural, largely permanent advantages - scarce, entitled infill land, embedded customer relationships, and a scale-driven cost of capital advantage - rather than on temporary conditions such as the post-pandemic e-commerce demand surge, which has already normalized without eroding Prologis's relative competitive position.

A6. Industry Trend

The logistics real estate industry expanded rapidly from 2020 through 2022 on accelerated e-commerce adoption, then absorbed a large wave of speculative construction that pushed vacancy higher and compressed rent growth through 2023-2025. CBRE's 2026 outlook describes a market now stabilizing rather than re-accelerating: vacancy is expected to hold in the mid-6 percent range, speculative development is expected to remain minimal given financing costs and existing vacant

first-generation space in markets such as the Inland Empire, Phoenix, Columbus, Kansas City and Louisville, and demand is expected to be supported by continued reshoring of manufacturing, third-party logistics expansion, and a resumption of steady e-commerce-driven space absorption.

Industry classification: **Consolidating, moderately cyclical, structurally transforming.** The sector is consolidating as scaled owner-operators such as Prologis, with development capability and capital-markets access, gain share relative to smaller, less capitalized owners; it remains moderately cyclical, tracking consumer spending and trade volumes; and it is being structurally reshaped by the emerging convergence of logistics land banks with data center and power infrastructure development. A sustained increase in interest rates, a prolonged consumer spending slowdown, or a reversal of current reshoring and trade patterns could each cause the current stabilization to reverse into renewed oversupply.

A7. Management

Dan Letter, Chief Executive Officer (effective 1 January 2026). Letter joined Prologis in 2004 as a development manager in Chicago and progressed through regional leadership roles, including president of the United States Central Region, before leading global capital deployment and being named CEO, succeeding co-founder Hamid Moghadam. He holds a Bachelor of Science in Civil Engineering from Marquette University and serves on Nareit's Advisory Board of Governors. His twenty-two-year tenure inside the company provides continuity, though his track record as chief executive is, by definition, less than one year old at the report date.

Hamid Moghadam, Executive Chairman. Moghadam co-founded Prologis's predecessor, AMB Property Corporation, in 1983 and led the combined company as chairman and chief executive for more than a decade following the 2011 AMB-ProLogis merger, including through the 2022 acquisition of Duke Realty that materially scaled the company's United States footprint. His transition to Executive Chairman preserves continuity at the board level while formally separating the roles.

Timothy Arndt, Chief Financial Officer. Arndt has served as Prologis's CFO and continues in that role as of the report date, providing financial leadership continuity through the January 2026 chief executive transition.

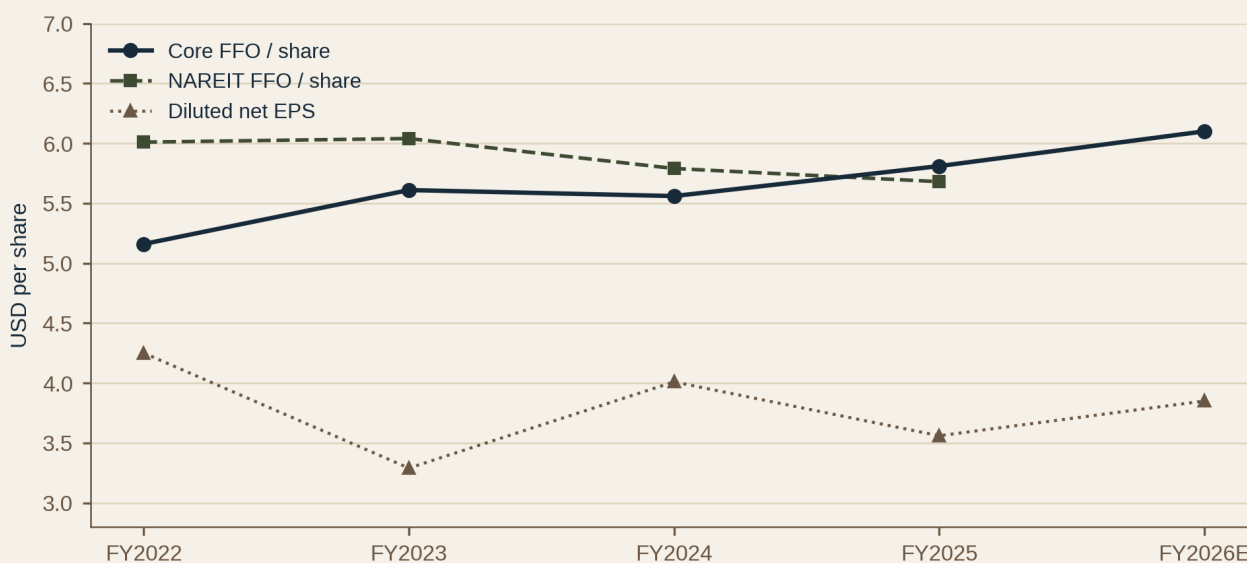
On capital allocation, management has consistently prioritized development over acquisition as the primary growth lever, reflecting a view that development yields on cost exceed acquisition cap rates; has funded growth with a mix of retained cash flow, debt and selective equity issuance (evidenced by rising leverage alongside continued development starts); and has grown the dividend each of the past several years in line with Core FFO growth. Insider ownership is low in percentage terms (a common feature of large-capitalization REITs with broad institutional ownership), and approximately 97 percent of shares outstanding are held by institutional investors, indicating that capital allocation decisions are subject to substantial external scrutiny.

B. Evaluation

B1. Financial and Operating Metrics

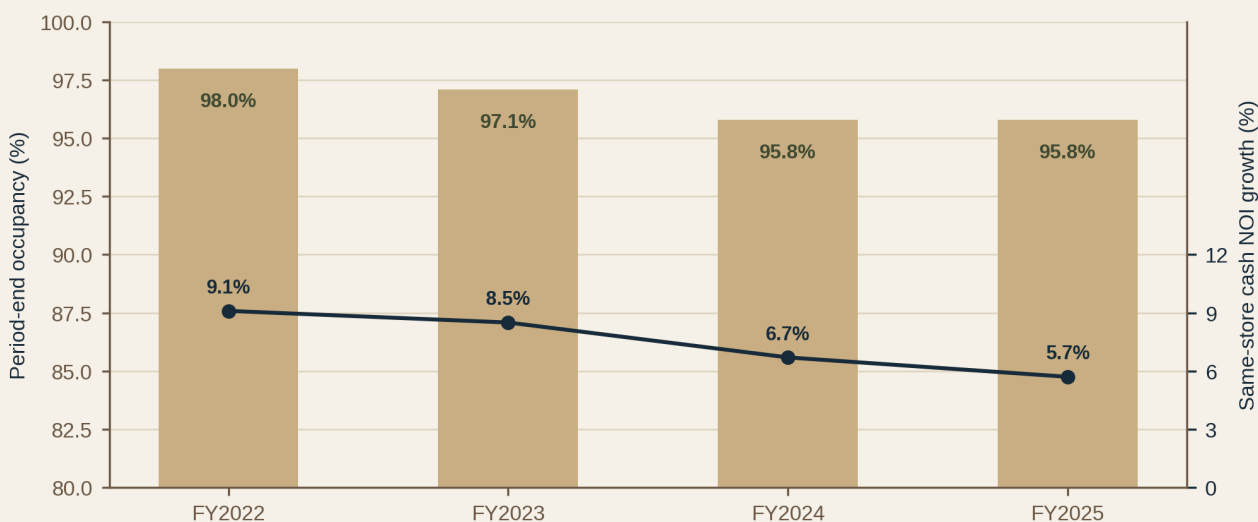
The metrics most relevant to a logistics REIT are occupancy and same-store net operating income growth (organic operating performance), Core FFO per share (cash earnings), and leverage (balance-sheet capacity to keep funding development). Traditional margin ratios such as gross margin are less meaningful for a REIT, where the relevant profitability concept is net operating income margin on rental revenue, which the company does not fully disclose at the segment level in the sources available for this report; accordingly, this section emphasizes the REIT-specific metrics Prologis itself reports and reconciles.

Core FFO, NAREIT FFO and diluted net EPS per share



FY2022-FY2025 actual; FY2026E is the midpoint of company guidance. Source: Prologis full-year earnings releases, FY2022-FY2025.

Occupancy and same-store cash NOI growth



Period-end occupancy, Prologis share; same-store cash NOI growth is the disclosed fourth-quarter year-over-year rate for FY2022-FY2024 and the trailing four-quarter rate for FY2025. Source: Prologis full-year earnings releases.

Core FFO per share grew from \$5.16 in FY2022 to \$5.81 in FY2025, a compound annual growth rate of approximately 4.1 percent, while same-store cash NOI growth decelerated from 9.1 percent to 5.7 percent over the same period, indicating that per-share growth is increasingly a function of development delivery and disciplined capital allocation rather than the exceptional organic rent growth of 2021-2022. Occupancy has drifted down from 98.0 percent to 95.8 percent (period-end, Prologis share) over four years, a normalization consistent with the broader industry vacancy trends described in Section A6 rather than a company-specific execution issue, since Prologis's occupancy has generally tracked above published national average vacancy figures throughout the period.

SELECTED FINANCIAL AND OPERATING METRICS

Metric	FY2022	FY2023	FY2024	FY2025
Total revenue (USD millions, reported)	5,974	8,023	8,202	8,790
Revenue growth (Y/Y)	N/A	34.3%	2.2%	7.2%
Core FFO per share	\$5.16	\$5.61	\$5.56	\$5.81
Diluted net EPS	\$4.25	\$3.29	\$4.01	\$3.56
Period-end occupancy (Prologis share)	98.0%	97.1%	95.8%	95.8%
Same-store cash NOI growth	9.1%	8.5%	6.7%	5.7%
Total debt / total assets (calculated)	27.2%	31.2%	32.4%	35.5%
Dividend per share (declared)	N/A	\$3.48	\$3.84	\$4.04

Sourced from Prologis full-year earnings releases, FY2022-FY2025 (Reported facts). Revenue growth, debt/assets ratio and CAGR figures are analyst calculations (Calculated). FY2022 dividend per share not retrieved from the sources reviewed for this report and is labeled Not Retrieved rather than estimated.

B2. Risks

Risks are grouped below and ranked qualitatively by the combination of likelihood and potential impact on the investment thesis, based on the analyst's interpretation of the evidence gathered for this report.

Business Risk

Customer concentration is limited in aggregate, with roughly 6,600 tenants, but Prologis has publicly identified large e-commerce operators, including Amazon, as key customers, and a slowdown at any single large tenant could affect specific submarkets or buildings disproportionately. Geographic concentration in the United States (85 percent of Prologis-share net operating income) ties the bulk of earnings to the domestic industrial cycle described in Section A6.

Financial Risk

Total debt has grown from \$23.9 billion to \$35.0 billion since FY2022, and total debt to total assets has risen from 27.2 percent to 35.5 percent, increasing sensitivity to refinancing conditions and interest rates. Debt to adjusted EBITDA stood at 5.3 times in FY2025, per company disclosure.

Competitive Risk

Smaller, more geographically focused peers such as Rexford Industrial and EastGroup can outcompete Prologis for specific infill sites in their core submarkets, and continued oversupply of first-generation vacant space in several major markets could pressure market rents faster than Prologis's in-place leases roll off, narrowing re-leasing spreads.

Technological Risk

Automation and robotics reduce the labor-driven need for additional warehouse square footage per unit of throughput over time, a structural headwind to long-run space demand growth that is distinct from, and additive to, the cyclical vacancy pressures described above. The nascent data center strategy also exposes Prologis to execution risk in an unfamiliar, more technically specialized asset class.

Regulatory Risk

As a REIT, Prologis must distribute at least 90 percent of taxable income to maintain its tax status, constraining retained-earnings-funded growth and increasing reliance on debt and equity markets. Local land-use and entitlement regulation directly affects the pace and cost of the development pipeline that is central to the growth thesis.

Macro Risk

The 10-year United States Treasury yield stood at 4.96 percent on 23 September 2026, up 0.81 percentage points from a year earlier; further increases in long-term rates would raise Prologis's marginal cost of debt and, historically, have pressured the multiples applied to REIT cash flows. A slowdown in global trade volumes or consumer spending would directly reduce underlying demand for logistics space.

Valuation Risk

At a trailing price-to-Core-FFO multiple of approximately 20.0 times, the stock is not priced for disappointment; a shortfall against 2026 guidance (Core FFO per share of \$6.00 to \$6.20) or a failure to convert the data center pipeline into earnings could compress the multiple as well as the earnings base simultaneously.

THREE RISKS MOST CAPABLE OF PERMANENTLY IMPAIRING SHAREHOLDER VALUE

First, a structural, multi-year increase in long-term interest rates that permanently raises Prologis's cost of capital below the returns available on new development, reducing the profitability of its core growth engine. Second, a sustained industrial oversupply cycle, driven by a slowdown in e-commerce and trade growth combined with continued construction, that compresses market rents below in-place levels across Prologis's core markets for an extended period. Third, a failure of the Strategic Capital and data center growth initiatives to scale, which would leave the company more dependent on a maturing core leasing business for growth than the current valuation appears to assume.

B3. Valuation

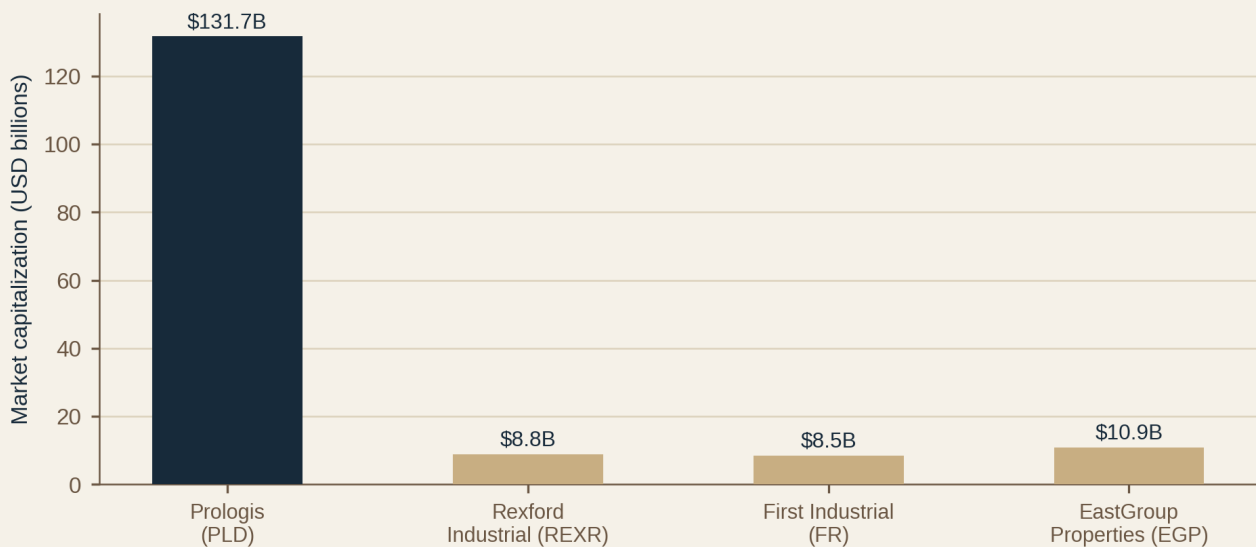
VALUATION MULTIPLES AS OF 22 SEPTEMBER 2026 CLOSE

Multiple	Prologis (PLD)	Notes
Trailing P/E	30.3x	Depressed relevance for a REIT; GAAP EPS is affected by real estate depreciation and disposition gains
Forward P/E	39.7x	Based on consensus forward EPS estimates
Price / Core FFO	20.0x	Industry-standard REIT cash-earnings multiple
EV / EBITDA	24.6x	

Multiple	Prologis (PLD)	Notes
EV / Sales	17.2x	
Price / Book	2.4x	Book value understates replacement cost of the portfolio given historical cost accounting
Dividend yield	3.15%	Based on a \$4.28 annualized forward dividend

Source: stockanalysis.com, as of 22 September 2026 close (Sourced).

Peer valuation



Market capitalization, Prologis and selected United States industrial REIT peers, 22 September 2026. Source: stockanalysis.com.

Company	Market cap	Revenue (TTM)	P/E or P/FFO	Dividend yield
Prologis (PLD)	\$131.7bn	\$9.66bn	20.0x P/FFO	3.15%
Rexford Industrial (REXR)	\$8.8bn	\$0.99bn	~52x P/FFO	4.55%
First Industrial (FR)	\$8.5bn	\$0.76bn	22.6x P/E	3.23%
EastGroup Properties (EGP)	\$10.9bn	\$0.75bn	35.6x P/E	3.46%

Source: stockanalysis.com, as of 22 September 2026 (Sourced). Rexford Industrial reported a net loss over the trailing twelve months, driven in substantial part by portfolio impairments in its concentrated Southern California market; its elevated P/FFO multiple should be read alongside that context rather than as a direct like-for-like comparison with Prologis's earnings quality.

What does the current price require?

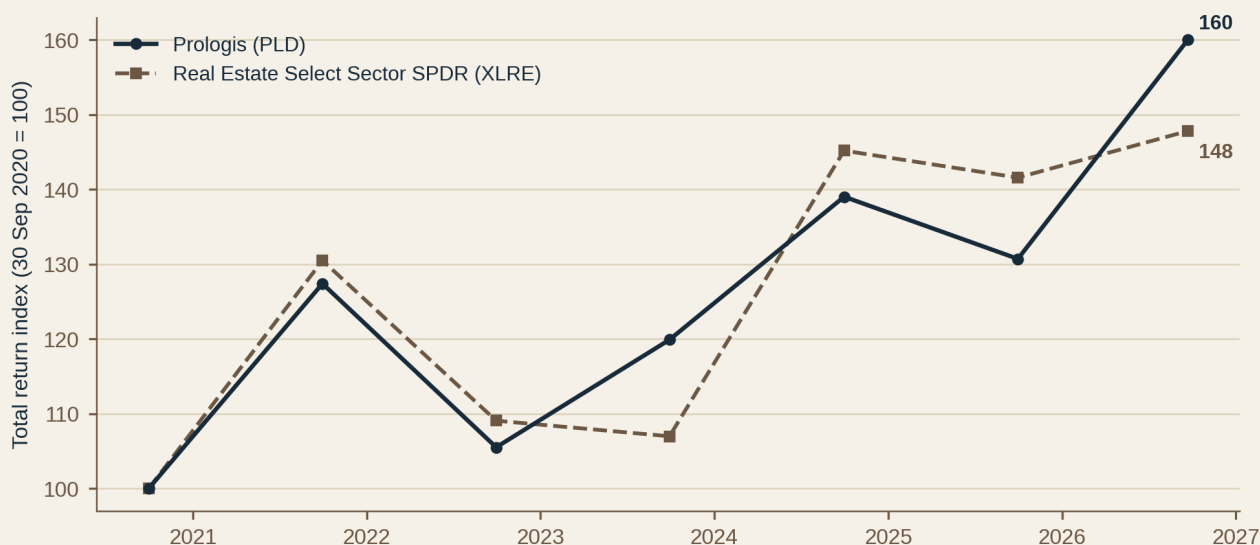
At 20.0 times Core FFO and a 3.15 percent dividend yield, the current price requires continued mid-single-digit Core FFO per share growth (consistent with 2026 guidance of \$6.00 to \$6.20), occupancy stabilizing rather than continuing to decline, and no material widening of capitalization rates from the current approximately 6.2 percent industrial cap rate environment. These assumptions appear **reasonable** relative to disclosed guidance and current industry conditions, rather than conservative or aggressive, since they broadly extrapolate recent trends without requiring either a reacceleration in same-store growth or a further deceleration.

B4. Capital Market and Stock Analysis

PRICE RETURNS TO 22 SEPTEMBER 2026 CLOSE

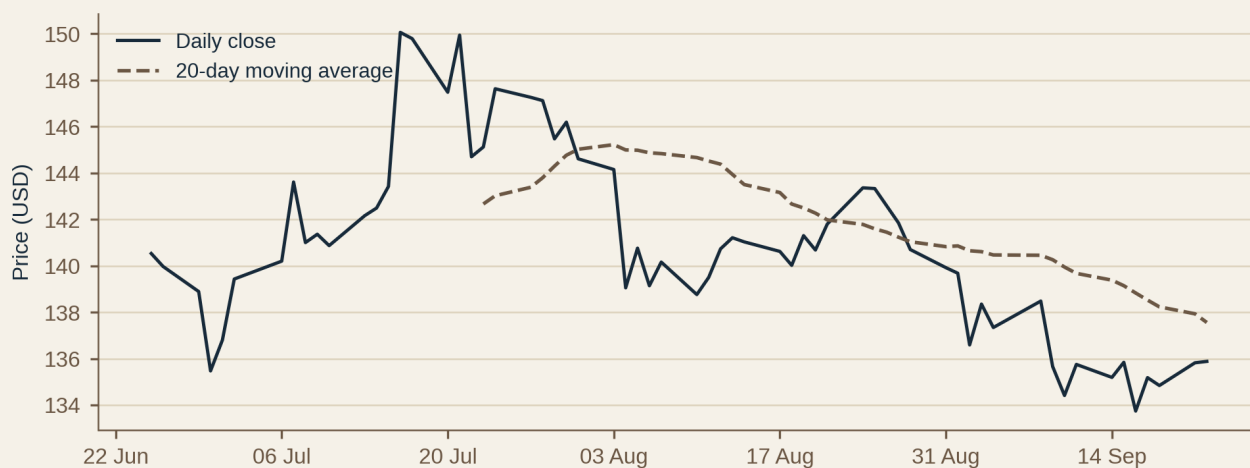
Period	PLD total return	XLRE (Real Estate sector) total return
1 year	+22.4%	+4.4%
3 years	+33.4%	+38.2%
5 years	+60.0%	+48.0%

Total return indices calculated by the analyst from monthly adjusted-close data (Alpha Vantage), 30 September 2020 to 22 September 2026 (Calculated).



Total return index, Prologis (PLD) versus the Real Estate Select Sector SPDR Fund (XLRE), rebased to 100 at 30 September 2020. Source: Alpha Vantage monthly adjusted price data, compiled by the analyst.

Prologis has modestly outperformed the broader real estate sector benchmark over five years but underperformed over the trailing three years, a period that captures both the 2022 interest rate shock, which hit development-heavy REITs including Prologis harder than the sector average, and the subsequent 2024-2026 recovery. Over the trailing twelve months the stock has outperformed the sector benchmark, consistent with the market's apparent preference for Prologis's scale, fee income and data center optionality within the real estate sector.

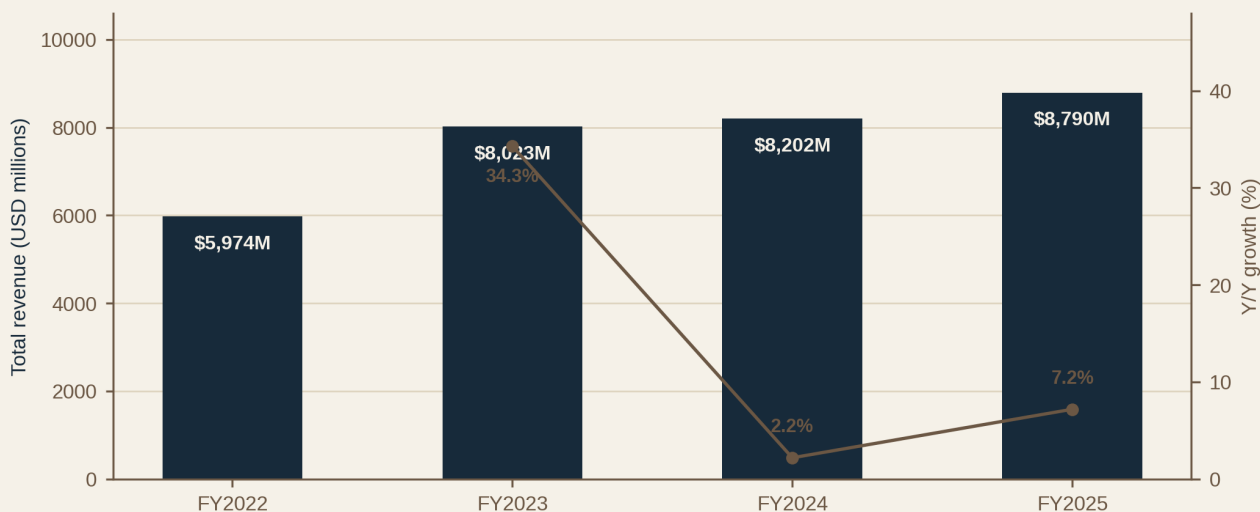


PLD daily close with 20-day moving average, 25 June 2026 to 22 September 2026. Source: Alpha Vantage daily market data, compiled by the analyst.

Over the trailing three months the stock has traded in a range of approximately \$134 to \$150, closing at \$135.88 on 22 September 2026, near the lower end of that range and below its 20-day moving average following a decline from a late-July high. The 52-week range of \$111.03 to \$153.35 places the current price roughly 22 percent above the 52-week low and 11 percent below the 52-week high. A five-year beta of 1.32 indicates the stock has historically moved with greater amplitude than the broader market, consistent with a capital-intensive, rate-sensitive business model; this reflects historical price behavior rather than a company-specific structural risk multiplier and should not be read as a forecast of future volatility. Average daily volume across the trailing three months was approximately 3.7 million shares. This recent technical softening should be read as a function of the broader move in long-term interest rates described in Section B2 rather than as evidence of a company-specific deterioration, given that fundamental operating metrics (occupancy, same-store growth, Core FFO) have moved in line with or ahead of guidance over the same period.

C. Financial Statements

C1. Income Statement



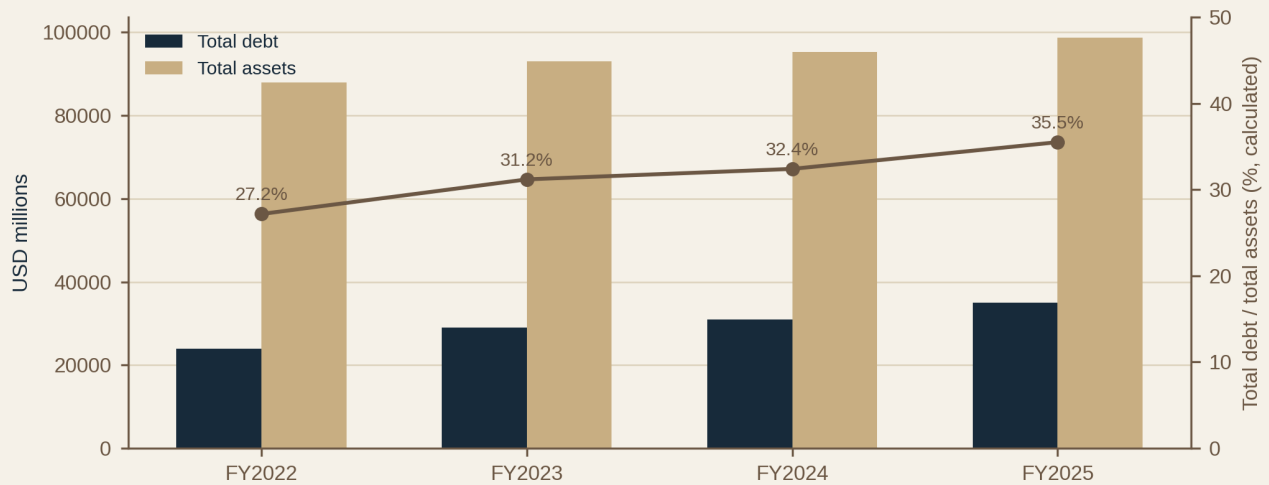
Total revenue and year-over-year growth, FY2022-FY2025. Source: Prologis full-year earnings releases.

Total revenue grew from \$5,974 million in FY2022 to \$8,790 million in FY2025. The 34.3 percent increase in FY2023 was driven primarily by the first full year of contribution from the October 2022 Duke Realty acquisition, rather than organic growth; FY2024 growth of 2.2 percent and FY2025 growth of 7.2 percent are more representative of underlying organic performance, comprising same-store rent growth, lease-up of development completions, and net effects of acquisitions and dispositions. Within FY2025 revenue, rental revenue grew 8.6 percent to \$8,159 million while Strategic Capital revenue declined 11.9 percent to \$592 million, indicating that the core leasing business, rather than the fee-management business, drove the year's growth.

Operating leverage: because the majority of property operating costs are reimbursed by tenants under triple-net leases, revenue growth converts to net operating income growth at a relatively high rate; the more binding constraint on bottom-line growth is the pace at which Prologis can fund incremental development and acquisitions without diluting per-share metrics. Net income margin, at 36-44 percent of revenue depending on the year per company financial statements as compiled by stockanalysis.com, is materially higher than a typical operating company's because it includes non-cash gains embedded in real estate accounting; Core FFO, which excludes those gains and adds back depreciation, is the more decision-useful profitability measure for this business.

Margins are best described as **stable to modestly expanding on a Core FFO basis** and **volatile on a GAAP net income basis**, the latter driven by the timing and size of gains on real estate dispositions rather than by any deterioration in the underlying leasing business.

C2. Balance Sheet



Total debt and total assets, FY2022-FY2025, with total debt to total assets (analyst calculation). Source: Prologis full-year earnings releases.

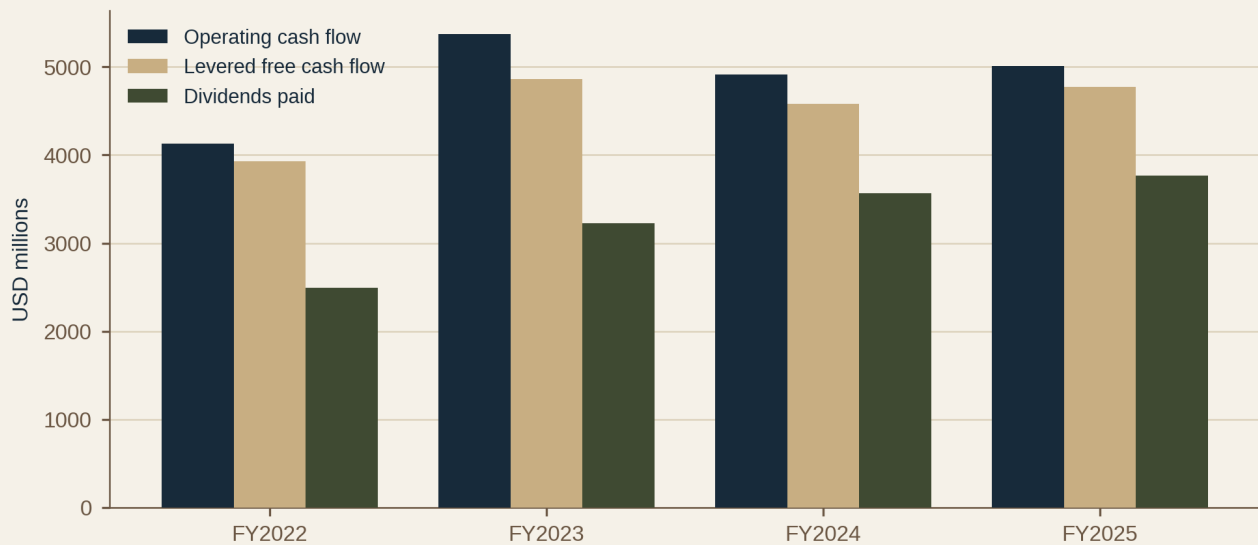
BALANCE SHEET SUMMARY (USD MILLIONS, YEAR-END)

Item	FY2022	FY2023	FY2024	FY2025
Total assets	87,897	93,021	95,329	98,724
Total debt	23,876	29,001	30,879	35,041
Total equity	57,863	57,824	58,617	57,754
Cash and equivalents	278	530	1,319	1,146
Total debt / total assets (calculated)	27.2%	31.2%	32.4%	35.5%

Total assets, total debt and cash sourced from Prologis full-year earnings releases, FY2022-FY2025 (Reported). Total equity for FY2022-FY2024 sourced from company financial statements as compiled by stockanalysis.com (Sourced, secondary); FY2025 equity confirmed against the primary earnings release. Debt/assets ratio is an analyst calculation.

Prologis's balance sheet remains equity-heavy relative to most REITs, with equity consistently exceeding total debt across the period shown, and the company retains investment-grade credit ratings from the major agencies (not independently re-verified for this report). The clearest balance-sheet trend is rising leverage: total debt has grown 47 percent since FY2022 while total assets have grown 12 percent, pushing the calculated debt-to-assets ratio from 27.2 percent to 35.5 percent. Company-disclosed debt to adjusted EBITDA of 5.3 times in FY2025 remains within the range typically considered investment-grade for a large, diversified REIT, but the trend bears monitoring, particularly if development funding needs continue to outpace retained cash flow and equity issuance. No goodwill concentration, off-balance-sheet financing structure, or working-capital deterioration was identified in the sources reviewed for this report; the primary balance-sheet risk identified is the leverage trend itself rather than any single asset-quality red flag.

C3. Cash Flow Statement



Operating cash flow, levered free cash flow and dividends paid, FY2022-FY2025. Source: company financial statements as compiled by stockanalysis.com.

Operating cash flow grew from \$4,126 million in FY2022 to \$5,008 million in FY2025, though the path was not linear: FY2023 operating cash flow of \$5,373 million exceeded FY2024's \$4,912 million, reflecting the timing of working-capital items and disposition-related cash flows rather than a decline in the underlying business. Applying the free cash flow formula specified for this report, free cash flow equals operating cash flow less capital expenditure; for a REIT, however, the majority of "capital expenditure" is development and acquisition spending that constitutes the core growth engine of the business rather than maintenance capex, so the levered free cash flow figures shown here (as compiled by the data provider, net of total real estate investment activity) are better read as a capital-intensity indicator than as discretionary cash available for distribution.

Dividends paid have grown from \$2,495 million in FY2022 to \$3,765 million in FY2025, broadly tracking Core FFO per share growth, while share repurchases have been immaterial (under \$31 million in every year shown), indicating that Prologis returns capital to shareholders almost entirely through the dividend rather than through buybacks. Net income exceeded operating cash flow in some years and fell short in others across the period, illustrating the general REIT-sector caution that **net income is not a reliable proxy for cash generation**; Core FFO, which is explicitly reconciled to net income by the company, remains the more decision-useful cash profitability measure.

C4. Forecasting and Projections

Revenue modeling. Near-term revenue growth is likely to be driven primarily by three components disclosed or implied in company guidance: continued mark-to-market releasing of the existing portfolio as in-place rents (still generally below current market rents in most Prologis submarkets) roll to market; lease-up and stabilization of the current development pipeline, guided at \$2.25 to \$2.75 billion of Prologis-share stabilizations in 2026; and a still-small but growing contribution from data center and energy-related revenue as the 5.7-gigawatt secured power pipeline converts into leased capacity.

Margin projections. Core FFO margin (Core FFO relative to total revenue) has been broadly stable, and the triple-net lease structure limits the company's exposure to operating cost inflation; the primary margin swing factor going forward is more likely to be interest expense, given the rising leverage trend documented in Section C2, than property-level operating costs.

Working capital and capital expenditure. Development spending, guided at \$3.0 to \$4.0 billion of Prologis-share starts in 2026, is the dominant capital allocation item and is funded through a combination of retained operating cash flow, debt

issuance, and, historically, selective equity issuance; the balance between these sources will be the key determinant of whether leverage continues to rise.

SCENARIO ANALYSIS, ILLUSTRATIVE FY2026-FY2027 CORE FFO PER SHARE (ANALYST CONSTRUCTION, NOT COMPANY GUIDANCE BEYOND THE FY2026 RANGE SHOWN)

Scenario	Key assumptions	FY2026 Core FFO/sh	FY2027 Core FFO/sh (illustrative)
Bull case	Same-store NOI growth re-accelerates toward 7%; data center pipeline converts faster than guided	\$6.20	\$6.70-\$6.90
Base case	Results within guided range; same-store growth stable near 5.5-6.0%	\$6.00-\$6.20	\$6.30-\$6.50
Bear case	Renewed industrial oversupply pressures market rents; leverage constrains development funding	\$5.80-\$6.00	\$5.75-\$6.00

FY2026 range reflects company guidance (Reported); FY2027 figures and scenario framing are analyst estimates (Estimated) built by extrapolating the guided FY2026 growth rate under varying same-store growth and development-conversion assumptions, and should not be read as company guidance.

C5. Discounted Cash Flow and Dividend-Based Valuation Range

Given the REIT structure, this section applies a dividend/FFO-based valuation framework rather than a conventional unlevered free-cash-flow DCF, consistent with standard REIT valuation practice. Key assumptions, all analyst estimates unless otherwise noted:

Assumption	Value	Basis
Risk-free rate (10-year U.S. Treasury)	4.96%	Sourced, 23 September 2026
Beta (5-year)	1.32	Sourced, stockanalysis.com
Assumed equity risk premium	5.0%	Estimated, standard long-run United States equity risk premium assumption
Implied cost of equity (CAPM)	~11.6%	Calculated: 4.96% + 1.32 x 5.0%
Estimated pre-tax cost of debt	~4.5-5.0%	Estimated, consistent with investment-grade REIT unsecured bond spreads over Treasuries in the current rate environment
Capital structure weight (debt / total capital)	~35%	Calculated from FY2025 balance sheet
Implied weighted average cost of capital	~9.0-9.5%	Calculated
Long-run terminal growth rate	2.5-3.0%	Estimated, consistent with long-run rent growth plus inflation

Applying this cost of capital to a Core FFO base of \$5.81 per share (FY2025 actual) growing toward the guided \$6.00-\$6.20 midpoint in FY2026 and thereafter at a normalized 4-6 percent annually, moderating to the 2.5-3.0 percent terminal rate over time, produces an illustrative valuation range of approximately \$110 to \$165 per share, depending primarily on the terminal growth and discount rate assumptions used. This range is wide by design and should be read as a plausibility band around the current \$135.88 price, which sits toward the middle of the range, rather than as a precise intrinsic value estimate. The single most sensitive input is the discount rate: a one-percentage-point change in the assumed weighted average cost of capital

shifts the implied valuation range by roughly 15-20 percent in the corresponding direction, underscoring the stock's sensitivity to the interest rate environment described in Section B2.

C6. Leveraged Buyout Considerations

A conventional leveraged buyout analysis is not a meaningful framework for Prologis and is therefore omitted rather than constructed artificially. Prologis's REIT tax status requires distribution of at least 90 percent of taxable income, which is structurally incompatible with the debt paydown mechanics a leveraged buyout depends on; its \$131.7 billion market capitalization is also far larger than the scale at which private equity-sponsored real estate buyouts typically occur, and its Strategic Capital co-investment structure already provides a mechanism for institutional capital to gain leveraged exposure to the portfolio without a whole-company transaction.

D. Investment Thesis

Bull Case

Industrial vacancy stabilizes and begins declining as speculative construction remains muted, allowing same-store cash NOI growth to reaccelerate from the current 5.7 percent toward the 7-9 percent range last seen in 2022-2023. The data center and energy platform scales faster than guided, converting a portion of the 5.7-gigawatt secured power pipeline into a material, higher-margin earnings contributor within two to three years. Strategic Capital fundraising reaccelerates, restoring fee income growth. Under this combination, Core FFO per share growth could sustain a high-single-digit pace, and if long-term interest rates decline from the current 4.96 percent level, the applied multiple could expand alongside faster earnings growth, producing outperformance versus both the stated valuation range and sector peers.

Bear Case

A renewed wave of industrial construction, or a slowdown in e-commerce and trade-driven demand, pushes vacancy higher and compresses market rents below in-place levels in key Prologis submarkets, turning mark-to-market releasing spreads negative. Leverage, already up from 27.2 percent to 35.5 percent of total assets since FY2022, continues rising as development funding needs outpace retained cash flow, pressuring credit metrics and constraining the pace of new development starts. Long-term interest rates rise further from the current 4.96 percent level, simultaneously raising the cost of debt and compressing the multiple applied to Core FFO. Under this combination, Core FFO per share growth could stall near or below the low end of 2026 guidance, and the stock could re-rate toward the lower end of the stated valuation range or below it.

Base Case

The most reasonable scenario based on current information is continued moderation rather than a sharp move in either direction: same-store cash NOI growth stabilizing in the mid-single digits, occupancy holding roughly in the 95-96 percent range, Core FFO per share growing within or close to the guided \$6.00-\$6.20 range for FY2026, and leverage stabilizing rather than continuing its recent rate of increase as development funding needs are balanced against retained cash flow and selective capital markets activity. Under this base case, the stock would likely trade in a range broadly consistent with its current valuation, with returns driven primarily by dividend income (currently yielding 3.15 percent) plus underlying Core FFO growth, rather than by significant multiple expansion or compression.

Catalysts

Potential catalysts include quarterly earnings releases (the next scheduled for 15 October 2026) and any associated revisions to full-year guidance; announcements converting secured data center power capacity into signed leases or joint ventures; Strategic Capital fundraising announcements; changes in Federal Reserve policy affecting the 10-year Treasury yield and, by extension, the cost of capital for rate-sensitive REITs; and any material acquisition, disposition or capital-markets transaction that shifts the leverage trajectory described in Section C2.

Things to Monitor

Metric or event	Why it matters	Positive signal	Negative signal
Same-store cash NOI growth	Best single indicator of organic operating momentum	Stabilizes or reaccelerates above 6%	Continues decelerating below 5%
Total debt / total assets	Tracks the balance-sheet risk trend identified in this report	Growth slows or the ratio stabilizes	Continues rising past 37-38%
Data center power pipeline conversion	Principal new growth vector beyond core leasing	Signed leases or joint ventures against the 5.7 GW pipeline	Pipeline remains largely unconverted after several quarters
Strategic Capital fee revenue	Declined year over year in FY2025; a capital-light growth and profitability lever	Returns to growth	Continues declining
10-year U.S. Treasury yield	Principal external driver of Prologis's cost of capital and valuation multiple	Yield declines from the current 4.96% level	Yield rises further

E. Final Investment Framework

BUSINESS QUALITY	High. The largest global logistics real estate platform, with a scarce infill land bank and a diversified customer and capital-partner base that few competitors can replicate at scale.
FINANCIAL QUALITY	Solid but moderating. Core FFO growth has outpaced net income growth, and leverage has risen for four consecutive years, warranting monitoring rather than alarm.
COMPETITIVE POSITION	Leading, though competition is highly local and smaller peers can be more effective within individual submarkets.
MANAGEMENT	Experienced and internally promoted leadership (CEO Dan Letter, effective January 2026, a 22-year company veteran) providing continuity from long-tenured co-founder Hamid Moghadam, now Executive Chairman; capital allocation has consistently prioritized development over acquisition.
INDUSTRY	Mature and structurally transforming; near-term fundamentals are stabilizing after a 2023-2025 oversupply correction, per CBRE's 2026 outlook.
VALUATION	Trades at approximately 20.0 times Core FFO and 24.6 times EV/EBITDA, a premium to most direct United States peers, within an analyst-estimated valuation range of approximately \$110-\$165 per share.
TECHNICAL AND MARKET STRUCTURE	Range-bound over the trailing three months, below its 20-day moving average and 52-week high, with an above-market beta of 1.32.
PRINCIPAL RISK	A sustained rise in long-term interest rates that simultaneously raises Prologis's cost of capital and compresses the multiple applied to its cash flows.
PRINCIPAL CATALYST	Conversion of the 5.7-gigawatt secured data center power pipeline into signed leases or joint ventures.
KEY VARIABLE	Same-store cash NOI growth, which has decelerated from 9.1% (FY2022) to 5.7% (FY2025) and is the clearest single indicator of whether the core leasing business is stabilizing or continuing to decelerate.
THESIS INVALIDATION	The investment thesis would become materially weaker if total debt to total assets rises past approximately 40% without a corresponding acceleration in same-store NOI growth, if same-store cash NOI growth falls below 4% for two or more consecutive years, or if the 10-year Treasury yield rises and remains above approximately 5.5% for a sustained period.

F. Data Table

Category	Metric	Current	Prior Year	3Y / 5Y Trend
Market	Market Cap	\$131.7bn	~\$107bn (FY2024E)	Rising
Market	Enterprise Value	\$167.0bn	N/A	N/A
Market	Share Price	\$135.88	\$111.01 (30 Sep 2025)	+22.4% (1yr)
Growth	Revenue Growth	7.2%	2.2%	Decelerating from FY2023 peak
Profitability	Core FFO / share	\$5.81	\$5.56	+4.1% CAGR, FY22-25
Profitability	Net Margin	36-44%	36-44%	Volatile (disposition gains)
Cash Flow	Operating Cash Flow	\$5,008M	\$4,912M	Rising, non-linear
Cash Flow	Free Cash Flow (levered, compiled)	\$4,770M	\$4,578M	Rising, non-linear
Leverage	Total Debt / Total Assets	35.5%	32.4%	Rising for 4 consecutive years
Leverage	Debt / Adjusted EBITDA	5.3x	N/A	N/A
Valuation	Price / Core FFO	20.0x	N/A	N/A
Valuation	EV / EBITDA	24.6x	N/A	N/A
Valuation	Dividend Yield	3.15%	N/A	N/A
Market	Beta (5-year)	1.32	N/A	N/A
Market	52-Week Range	\$111.03-\$153.35	N/A	N/A

FY2024 market capitalization is a rough analyst estimate (Estimated) based on the trailing 52-week price change disclosed by stockanalysis.com and is not a reported figure; all other current-period figures are sourced as detailed in Section G.

G. Sources and Methodology

Primary Sources

Prologis, Inc. - Fourth Quarter and Full Year 2025 Results (press release and financial supplement)

Published 20 January 2026 · ir.prologis.com/press-releases/detail/1029/prologis-reports-fourth-quarter-and-full-year-2025-results · Used for FY2025 and FY2024 revenue, earnings, Core and NAREIT FFO, occupancy, same-store NOI growth, balance sheet, 2026 guidance, and geographic segment data

Prologis, Inc. - Exhibit 99.1, Fourth Quarter and Full Year 2025 Earnings Release (SEC filing)

Filed January 2026 · sec.gov/Archives/edgar/data/1045609/000119312526017256/pld-ex99_1.htm · Used to confirm consolidated income statement detail and geographic NOI mix

Prologis, Inc. - Fourth Quarter and Full Year 2024 Results

Published January 2025 · ir.prologis.com/press-releases/detail/1004/prologis-reports-fourth-quarter-and-full-year-2024-results · Used for FY2024 and FY2023 comparative revenue, FFO, occupancy and balance sheet data

Prologis, Inc. - Fourth Quarter and Full Year 2023 Results

Published January 2024 · ir.prologis.com/press-releases/detail/979/prologis-reports-fourth-quarter-and-full-year-2023-results · Used for FY2023 and FY2022 comparative revenue, FFO, occupancy and balance sheet data

Prologis, Inc. - Fourth Quarter and Full Year 2022 Results

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Umbrex - Prologis Strategy and Business Model

Accessed 23 September 2026 · umbrex.com/resources/company-profiles/prologis · Used for Strategic Capital, Essentials and competitive positioning narrative

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Retrieved 23 September 2026 · alphavantage.co · Used for the cover price chart, technical chart, and multi-year total return comparison

stockanalysis.com - Prologis (PLD) financial statements, ratios and statistics pages

Retrieved 23 September 2026 · stockanalysis.com/stocks/pld · Used for current valuation multiples, market capitalization, cash flow statement figures, and peer statistics for Rexford Industrial, First Industrial and EastGroup Properties

Trading Economics - United States 10-Year Government Bond Yield

Retrieved 23 September 2026 · tradingeconomics.com/united-states/government-bond-yield · Used for the risk-free rate applied in Section C5

Calculations

Analyst calculations

Total debt / total assets ratios; revenue and FFO compound annual growth rates; total return indices from monthly price series; cost-of-capital and valuation-range estimates in Section C5; scenario analysis in Section C4. All clearly labeled Calculated or Estimated in the relevant section.

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